

Business Case: Leave Encashment & Cost Optimisation

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AUTHOR

Abhishek Kininge

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01 Project Overview | BACKGROUND

Background

Every year, January proved to be one of the costliest months at the Brintons India Service Centre due to accumulated leave encashment expenses. As the PACE (Profit & Cash Execution) Champion for the Service Centre, I led cost reduction initiatives across operational areas — one of which targeted this recurring financial pressure.

Through a cross-functional brainstorming session, an initiative was identified to encourage employees to avail their balance leaves rather than opt for encashment. This had a dual operational benefit — reducing encashment payouts and enabling a single-shift model instead of two shifts, generating additional savings across food arrangements, electricity, and transportation.

My Role

As PACE Champion, I led the initiative from identification through to implementation and outcome tracking — coordinating across HR, Finance, Operations, and Planning teams to ensure smooth execution.

02 SWOT Analysis | POLICY CHANGE LENS

STRENGTHS

- Cost savings through reduced encashment payouts and single-shift operations
- Improved workforce planning and financial forecasting
- Streamlined operations during the leave utilisation period

WEAKNESSES

- Some employees preferred encashment for financial flexibility
- Required careful coordination across HR, Payroll, and Operations
- Monitoring compliance without impacting productivity

OPPORTUNITIES

- Scalable model applicable to other cost-heavy periods

THREATS

- Employee resistance to policy change
- Short-term operational adjustments and

- Foundation for structured annual leave management policy
- Opportunity to improve work-life balance through planned leave

- communication challenges
- Legal compliance requirements around leave structure

03

Business Analysis Approach
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 METHODOLOGY

Stakeholder Engagement

- Engaged HR, Payroll, Finance, and Operations teams to understand the financial and operational impact of the current leave encashment pattern
- Facilitated cross-functional discussions to define initiative scope, implementation approach, and communication plan
- Coordinated employee awareness sessions — communicating the initiative rationale and encouraging participation

Process Mapping & Analysis

- Mapped the existing leave encashment process — identifying key trigger points driving January cost spikes
- Analysed operational impact of shifting from two-shift to single-shift model during the leave utilisation period
- Worked with Finance to validate projected savings across all cost heads

Implementation & Standardisation

- Developed SOPs for structured leave planning and encashment processes
- Established tracking mechanisms to monitor leave utilisation, shift patterns, and cost outcomes
- Conducted regular review meetings to address employee concerns and refine the approach

04

Impact Analysis
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 OUTCOMES

VERIFIED SAVINGS

£5K–10K

Recognised internally as a successful PACE outcome

OPERATIONS MODEL

1-Shift

Successful transition from two-shift operations

TEAMS ENGAGED

4 Depts

HR, Finance, Operations & Planning

Financial Impact

- Cost savings in the range of £5K–10K — recognised internally as a successful PACE outcome

- Savings achieved across food arrangements, electricity, and transportation through single-shift operations
- Reduced sudden financial burden from bulk leave encashment payouts

Operational Impact

- Successful transition to single-shift operations during the leave utilisation period
- Improved cross-functional coordination between HR, Finance, and Operations
- Enhanced tracking of leave trends for proactive workforce planning

Employee Impact

- Encouraged planned leave utilisation — reducing last-minute encashment requests
- Clearer leave policies improved employee understanding and communication
- Structured approach minimised confusion and improved transparency

"Small behavioural shifts — when properly analysed and communicated — can generate measurable financial impact."

05 Outcomes & Lessons Learned | RESULTS

Immediate Outcomes

- Successful transition to single-shift operations, reducing unnecessary expenses
- Effective employee engagement, minimising resistance to policy adjustments
- Realised cost savings without negatively impacting workforce availability

Long-Term Business Benefits

- Sustainable cost control framework applicable to future high-cost periods
- Better workforce planning reducing absenteeism and ensuring smooth operations
- Scalable best practices for future cost optimisation initiatives

Key Takeaways

- Cross-functional stakeholder engagement is critical to successful policy implementation
- Tracking and quantifying outcomes builds credibility and supports a continuous improvement culture
- PACE-style initiatives demonstrate that process improvement extends beyond operations into HR and financial planning

06 Conclusion | CLOSING

This case study demonstrates how structured analysis, cross-functional collaboration, and targeted process improvement can deliver measurable cost savings. The initiative highlights the value of

identifying operational inefficiencies through stakeholder engagement and data-driven analysis —
translating insights into sustainable, organisation-wide improvements.